

# Halcyon Dynamics Q2 FY2026 Business Review

*Quarter ended 30 June 2026. Prepared by the Office of the CFO (Marcus Adebayo-Reyes), 21 July 2026.*

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## 1. Executive Summary

Halcyon Dynamics delivered record results in the second quarter of fiscal year 2026 (1 April to 30 June 2026). Total revenue was 69.6 million US dollars, up 31 percent year over year from 53.1 million in Q2 FY2025 and up 12 percent from 62.1 million in Q1 FY2026. Gross margin expanded to 54.2 percent from 51.8 percent a year earlier, driven by a higher software mix and lower per-unit manufacturing cost.

We shipped 1,240 Aurora X200 units in the quarter, bringing the installed base to 5,870 aircraft. Annual recurring revenue (ARR) from Halcyon Insight subscriptions reached 74.8 million US dollars, up 49 percent year over year. Headcount ended the quarter at 561. This document is classified Confidential under policy HD-SEC-001 until results are published.

## 2. Revenue by Segment

Revenue is reported in three segments. Inspection Platforms covers Aurora X200 aircraft, docking stations and accessories. Software and Analytics covers Halcyon Insight subscriptions and API usage. Services and Support covers installation, AuroraCare Plus plans and training.

Inspection Platforms: 41.6 million US dollars, up 28 percent year over year.

Software and Analytics: 18.3 million US dollars, up 47 percent year over year.

Services and Support: 9.7 million US dollars, up 19 percent year over year.

Total revenue: 69.6 million US dollars, up 31 percent year over year.

Software and Analytics now represents 26 percent of revenue, compared with 23 percent a year ago. Inspection Platforms revenue benefited from the 1,240 units shipped at an average selling price of 28,400 US dollars per aircraft system. Services growth was held back by installer capacity, which we are addressing by certifying 40 additional partner technicians in Q3.

## 3. Profitability and Cash

Gross margin was 54.2 percent (Q2 FY2025: 51.8 percent). Operating expenses were 31.2 million US dollars, of which research and development accounted for 14.9 million, sales and marketing 10.3 million and general and administrative 6.0 million. Adjusted EBITDA was 6.5 million US dollars, a 9.3 percent margin, compared with 1.2 million in Q2 FY2025.

Cash and short-term investments totalled 142 million US dollars at quarter end with no debt outstanding. Operating cash flow was positive at 8.1 million US dollars and capital expenditure was 3.4 million, mainly tooling for the second production line in Meridian Falls. Days sales outstanding improved to 48 days from 56 days.

Manufacturing yield on the Aurora X200 line improved to 97.1 percent from 94.8 percent a year earlier, and per-unit production cost fell 9 percent to 12,600 US dollars as the second-generation gimbal assembly fixture came online. Inventory stood at 38 million US dollars, or 14 weeks of supply, reflecting the deliberate build-up of LiDAR modules described in the key risks section.

#### **4. Aurora X200 Shipments and Installed Base**

Aurora X200 shipments were 1,240 units in Q2 FY2026, up from 960 units in Q1 FY2026 and 890 units in Q2 FY2025. Cumulative shipments reached 5,870 aircraft and 3,120 docking stations across 41 countries. The Halcyon Insight subscription attach rate on new systems was 72 percent, up from 64 percent a year earlier.

Fleet utilisation averaged 3.8 flights per aircraft per day, and customers completed 2.1 million autonomous inspection flights in the quarter with a mission success rate of 99.3 percent. Warranty claims remained low at 1.4 percent of the installed base, with propeller imbalance (error code E-455) the most common field issue. The AuroraOS 4.2.1 release shipped in March reduced E-215 RTK timeout events by 38 percent.

The Meridian Falls factory produced 1,310 aircraft in the quarter against a single-line capacity of about 450 units per month, running two shifts in May and June to work down the order backlog, which stood at 2,150 units (about 61 million US dollars) at quarter end. Average time from order to installed system was 9 weeks, compared with the 8-week lead time quoted in the technical specification.

#### **5. Headcount by Department**

Headcount ended the quarter at 561 regular employees, an increase of 58 from Q1 FY2026. Annualised voluntary attrition was 7.4 percent. The breakdown by department at 30 June 2026 was:

Engineering: 212 employees.

Manufacturing and Supply Chain: 128 employees.

Sales and Marketing: 96 employees.

Customer Success and Support: 74 employees.

General and Administrative: 51 employees.

Total: 561 employees.

Most hiring in the quarter was in Manufacturing and Supply Chain (plus 31) to staff the second production line, and in Customer Success (plus 12) to support the growing installed base. We expect to reach approximately 600 employees by the end of FY2026.

## 6. Top Customers

Our three largest customers by trailing-twelve-month revenue are:

? Norrland Grid Services (electricity transmission operator, Sweden): 7.9 million US dollars, operating 310 Aurora X200 systems across substations.

? Kestrel Offshore Energy (offshore wind operator, United Kingdom): 6.4 million US dollars, with 240 systems on North Sea wind farms.

? Bluewater Port Authority (port operator, Australia): 4.1 million US dollars, with 150 systems inspecting cranes and container yards.

The top 10 customers represented 38 percent of revenue, down from 44 percent a year ago as the customer base broadens. No single customer exceeded 12 percent of quarterly revenue. Net revenue retention across Halcyon Insight subscriptions was 118 percent.

## 7. Regional Performance and Customer Success

Revenue by region was 34.1 million US dollars in the Americas (49 percent), 26.4 million in Europe, the Middle East and Africa (38 percent) and 9.1 million in Asia-Pacific (13 percent). Asia-Pacific was the fastest-growing region at 58 percent year over year, led by port and mining customers in Australia.

Customer satisfaction remained strong with a net promoter score of 61, up from 54 a year ago.

Support handled 4,820 tickets in the quarter with a median first response of 2.1 business hours, well inside the 4-hour Priority 1 target. Gross logo churn was 1.8 percent, and 92 percent of AuroraCare Plus contracts due for renewal in the quarter were renewed.

## 8. Key Risks

? Supplier concentration: the AX200-LID-190 LiDAR module is single-sourced from Veltrix Photonics. We hold 14 weeks of inventory and expect to qualify Orionis Sensors as a second source by Q1 FY2027.

? Component costs: battery cell prices rose 12 percent year over year and tariffs on imported carbon-fibre components could reduce gross margin by up to 1.5 percentage points if unmitigated.

? Regulatory: the phased introduction of European U-space airspace rules may delay some beyond-visual-line-of-sight approvals in Q4 FY2026.

? Currency: 43 percent of revenue is invoiced in euros and pounds sterling; a 10 percent strengthening of the US dollar would reduce reported revenue by about 3 million US dollars per quarter.

? Talent: competition for autonomy and perception engineers remains intense in the Colorado market.

## 9. Product Roadmap

The roadmap milestones committed for the next five quarters are:

Q3 FY2026: AuroraOS 4.3 with autonomous night inspection and thermal anomaly scoring, general availability.

Q4 FY2026: Aurora X300 heavy-lift prototype (5 kg payload, 60-minute flight time) begins flight testing.

Q1 FY2027: Halcyon Insight 2.0 general availability with predictive maintenance models and the qualification of Orionis Sensors as a second LiDAR source.

Q2 FY2027: Aurora X300 general availability.

Q3 FY2027: Hydrogen fuel-cell range extender for the Aurora X200 targeting 90 minutes of flight time.

Research and development spending is planned at 21 to 22 percent of revenue for the remainder of the year. The AuroraOS 4.3 release also completes the migration to the signed-firmware pipeline required by policy HD-SEC-001.

## 10. Outlook

For Q3 FY2026 we expect revenue of 72 to 75 million US dollars and shipments of 1,300 to 1,400 Aurora X200 units. For the full fiscal year 2026 we are raising revenue guidance to 285 to 295 million US dollars from the previous range of 270 to 285 million, with gross margin of 54 to 55 percent and positive adjusted EBITDA for every remaining quarter.

Capital expenditure for the second half is planned at 9 million US dollars, primarily for the second production line, which is expected to double monthly capacity to 900 aircraft when it comes online in November 2026. The next business review will cover the quarter ending 30 September 2026.